NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

ADVANCED FINANCIAL ACCOUNTING

CAC 4201

MARCH 2023 EXAMINATION PAPER

This examination paper consists of 6 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

1. Answer all questions
2. Each question carries 25 marks
3. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	25
2.	25
3.	25
4.	25
TOTAL	100

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Question one (25 marks) (1)

Three shareholders of Birds Ltd have contracted you to explain terms found in the financial statements .The terms are as follows:

(a)The 75% rule of IFRS 8 **(5 marks)**

(b)Why there was a gain on bargain purchase **(5 marks)**

(c) A failure prediction model that does not use financial statements **(5 marks)**

(d)Disadvantages of consolidated cash flows **(5 marks)**

(e) Different treatments of unrealised profit or losses in the inventories for subsidiaries, joint arrangements and foreign associates **(5 marks)**

Question two (25 Marks) (3)

Rose Ltd acquired 80% of the ordinary shares of Protea Ltd on 1 January 2022. All the assets and liabilities were fairly valued at that date except for the specialised plant and equipment that was $150 000 greater than its carrying amount and damaged inventory which was over valued by $50 000.

Ordinary share capital, share premium and retained earnings at that date were $2 500 000, $500 000 and $260 000 respectively.

Protea Ltd.'s financial statements at 31 December 2022 contained notes referring to a contingent liability with a fair value of $200 000.

The shares of Protea Ltd were trading at $1.75 on 1 January 2022.The average industry share price was $1.80.

Other information.

The terms of the agreement of sale were:

A cash payment of $6 000 000,takeover of a short term shareholder loan of $5 980 000,surrender of bitcoins worth $500 000(fair value was $600 000), transfer of a fleet of heavy duty motor vehicles with a carrying amount o $21 000 000 and a fair value of the same, surrender by Rose Ltd of a trade mark with fair value of $56 000.In addition Protea Ltd was to give a customer data base of African clients generating R20 000 business a week.

Legal expenses for drafting the agreement were $50 000.

On 30 November 2022 external auditors discovered the following:

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(a) Opening inventory on acquisition of Protea Ltd had excluded consignment stock to Petunia Ltd .The inventory was $2 500 000 at selling price. Rose Ltd has a mark- up of 25%. Petunia Ltd earns 5% agency fees and had not been paid since the sale of the goods on 15 October 2022.

(b) On 1 January 2022 a 5% loan investment of $4 000 000 in the books of Protea Ltd had been omitted in error. The interest is paid in arrears for two years and then at 6% for the remaining 5 years. The loan agreement was dated 1 January 2020. The effective market interest is 6%.

(c) Included in the furniture and fittings was a sculpture of a well-known artist. The artwork was in the general manager's office and was his personal item and was valued at $68 360.

Non-controlling interest was measured at fair value.

Income tax and capital gains tax is at 25%.

Required

(a) Prepare the journals and proforma journals at acquisition date. (20 marks)

(b) Calculate the amount to be adjusted to the goodwill/gain on bargain purchase for the reporting period 31 December 2022. (5 marks)

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Question three (25 marks) (2)

(A). Compass Ltd has several business in Zimbabwe .The following transactions took place during the period ending 31 December 2022.

(1) Compass Ltd purchased inventory from East Ltd in Mutare at accost of 20%.East Ltd normally realises a profit of 40%. Purchases from East Ltd amounted to $20400 000.Compass Ltd owns 20% of East Ltd but appoints all the directors of the company.

(2) Compass Ltd borrowed $10 000 000 from Compass Bank Ltd –a bank with a similar name. The bank specialises in lending for farming projects. The balance of the loan at 31 December 2022 was $8 000 000.

(3)West Ltd a Plumtree company requested Compass Ltd to negotiate for a $500 000 loan from Compass Bank. Compass charges 0.05 % commission. Compass Ltd is in an equal joint venture with Mpumalanga and Mabvazuva in West Ltd.

(4)North Ltd in Mt Darwin is owned 70% by Compass Ltd. South Ltd in Maswingo is 52% owned by Compass Ltd. During the period the only transactions were refunds of $10 000 public liability insurance paid by Compass Ltd on behalf of these companies.

Required

(a)Identify the related parties of Compass Ltd. (Motivate your answer). **(5 marks).**

(b))Disclose all relevant information in terms of IAS 24 for the period ending 31 December 2022. **(7 marks)**

(B) Compass Ltd has 60% shares in Northwest Ltd a small lithium mine in Dande.The mine has a potential to be one of the largest mines in the country. The mine has a reporting period of 31 October .The directors of Compass Ltd have decided not to consolidate the financial statements of North West Ltd for the reasons that they have dissimilar activities and different reporting dates.

Required

Advise the directors on their decision. **(13 marks)**

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Question four (25 Marks) (4)

Injiva Ltd acquired 80 400 shares in Dove Ltd on 1 January 2018 for $218 000 cash and $120 000 gold coins. The retained earnings were $54 260.The other shareholders of Dove Ltd are dispersed throughout the country and none of them holds more than 1% of the shares.

On 1 January 2022 Injiva Ltd also acquired 50250 shares in Njiva Ltd for $2170 000 in cash and $120 000 in gold coins. The retained earnings at that date were $294 000.

Extracts of the trial balances of Injiva Ltd, Dove Ltd and Njiva Ltd are below:

All 31 December 2023 in US$

DEBITS	Injiva Ltd	Dove Ltd	Njiva Ltd
Loan to Dove Ltd	145 000		
Management fees to Injiva Ltd		18 125	
Dividends paid 31 Dec 2022	26 000	34 000	18 000
Loan to/from XYZ Ltd	9 000		
Income tax expense	135 324	60249	52 052
Other expenses	42 7000	78 000	25300
CREDITS			
Share capital-500 000 $1 each	500 000		
Share capital-201 000 $2 each		402 000	
Share capital-220 000 $1 each			220 000
Retained earnings 1 January 2022	194 324	185 084	370 734
Revaluation surplus on land -31 Dec 2022		20 000	
Loan from Injiva Ltd		145 000	
Gross profit	354 000	273 000	186 000
Other income including management fees	172 000	38 300	25 200

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Additional Information:

On 1 June 2022 Dove Ltd sold a trade- mark to Injiva Ltd for a profit of $34 600.The profit is not taxable.

Injiva Ltd measures non-controlling interest based proportional share of identifiable net assets.

The share prices on the ZSE for Njiva Ltd were $4.22 on 30 June 2022 and $3.38 on 30 September 2022.

On 31 December 2022, the last day of the reporting period, Injiva sold all its stake in Dove Ltd .The profit was immaterial.

Injiva Ltd purchased additional 15% shares in Njiva Ltd on 30 June 2022 at market rate. And further 20% on 30 September 2022.Consideration were through a loan from ZBB BANK. Interest at 5% has not been included in the accounts.

Assume revenue and profits are earned evenly through- out the year.

Tax rates are at 20% both income tax and capital gains tax.

Required

(a)Prepare the consolidated statement of profit or loss and other comprehensive income for the period ending 31 December 2022. **(20 marks)**

(b)Prepare either the retained earnings column of the consolidated statement of changes in equity for the period 31 December 2022

OR

The goodwill /gain on bargain purchase of Njiva Ltd at 31 December 2022. **(5 marks)**

THIS IS THE END OF THE EXAMINATION PAPER.

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